

## Recitation 11

- [illegible]

- (c) What impact do you think Volcker’s monetary policy had on inflation expectations and actual inflation in the early 1980s? Use the graph that you drew in parts (a) and (b) to illustrate your answer.

(d) **The 2008 Housing Bust as a Demand Shock**

When the housing bubble burst and “NINJA” loans began to default, trillions of dollars in household wealth evaporated. Using the  $AD - AS$  framework, describe the shift in the  $AD$  curve and explain why this led to a significant “recessionary gap” rather than just a simple drop in prices.

(e) **The Role of Financial Intermediation**

Christina Romer argues that the “cost of credit intermediation” rose in the 1930s due to bank failures. The 2008 crisis saw a similar “freeze” when the “Giant Pool of Money” stopped buying mortgage-backed securities. How does a disruption in the financial system’s ability to link savers to borrowers affect the  $AD$  curve?

(f) **Sticky Wages and the Upward-Sloping Supply Curve**

Romer notes that while there is disagreement on *why* the  $AS$  curve is upward-sloping, most agree wages and prices are not perfectly flexible. If the  $AS$  curve were perfectly vertical (the Classical case), how would the collapse of the subprime mortgage market have affected the economy differently?

(g) **Policy Intervention and Recovery**

Romer notes that the 1930s recovery was driven by a massive increase in the money supply (devaluation and gold inflows). If the Federal Reserve uses expansionary monetary policy to combat a contraction in the “Giant Pool of Money,” which way does it intend to shift the  $AD$  curve, and what is the goal for real output ( $Y$ )?